

have seen HNIs and UHNIs having made their money over decades. But newbie entrepreneurs are creating capital as of last fortnight. When you create that kind of capital with such swift pace, coupled with the fact that it can go into only one asset class from a tax-saving perspective, it leads to a demand that I would like to believe will be sustainable,” says Ashwin Chadha, President at India Sotheby’s International Realty, which recently sold a sea-facing apartment in Mumbai for ₹41 crore to Zishaan Hayath, Founder of Toppr, and a holiday home in Goa for ₹80 crore to Pinky Reddy, wife of GVK Group Vice Chairman G.V. Sanjay Reddy.

JUST A CLICK AWAY

“E-commerce is here to stay. It will only grow further,” says Amrish Kumar, Managing Director of Reliance Ritu Kumar. Nearly 20 per cent of Ritu Kumar’s sales come from e-commerce and, significantly, from Tier II cities. Adds Amit Pande, Brand Head of The Collective and International Brands, a multi-brand Indian retailer launched in 2008 by Aditya Birla Fashion and Retail Ltd, “Post-Covid-19, people are finding it a lot more acceptable to do a digital transaction. So, we have a lot of new customers shopping online.” Nearly 25 per cent of its sales come from e-commerce, and almost 45-50 per cent of that comes from non-store towns. The Collective has 14 stores in 12 cities and another four stores are in the pipeline. Tier II cities are important and it recently opened stores in Lucknow and Ludhiana. Pande says nearly 30 per cent of The Collective’s clients are in their 20s. “Our customers tend to be a little more fashion-oriented. Our products are younger and more fashionable.”

The Indian luxury goods market is likely to cross ₹50,000 crore in 2024 from ₹32,789 crore in 2020

Fashion, accessories and beauty continue to be the most popular online luxury shopping categories in India, according to Tata CLiQ Luxury. Apart from women, men are also investing in luxury products in categories such as fashion, grooming, gadgets, footwear, and so on. For instance, on Tata CLiQ Luxury, 60 per cent of shoppers are men. “Almost 40 per cent of our revenues come from the Tier II, III and IV markets. While female customers are frequent shoppers on our platform, we have noticed that male customers spend on average a higher amount. Around 70 per cent of our customers are aged between 25 and 45 years,” says Gitanjali Saxena, Business Head at Tata CLiQ Luxury.

ZOOMING AHEAD

The other popular luxury product is the automobile. The market for premium and luxury cars (with vehicles that retail over \$75,000) is around ₹14,584 crore in 2022, as compared to ₹13,757 crore last year, as per Euromonitor International. This is lower than the pre-Covid-19 market size of over ₹20,000 crore in 2019. Naveen Soni, President at Lexus India, the luxury brand from Toyota, says that the number of units of luxury cars sold pre-Covid-19 were 40,000, which halved to 20,000 in 2020. Currently, it is around 34,000-35,000. “It has been a sharp V-shaped recovery,” he says, adding that he expects the year to end at 40,000. “The mindset has changed. Earlier, the typical Indian mindset was for saving. People now believe you have only one life, live it up.” Soni says the buyer is also getting younger as a lot of first-time buyers are purchasing luxury cars since their basic financial needs have been taken care of with legacy money. Soni says currently only 1 per cent of the total car sales are luxury, so there is much headroom to grow.

Jatin Ahuja, Founder and CEO of Big Boy Toyz, a company specialising in pre-owned luxury cars, says that there has been an increase in the number of women buyers. “The increase in the percentage of female buyers has been incredibly noticeable. In the upcoming years, it is possible to anticipate that the used car segment and network expansion in non-metro markets will maintain this trend,” he says, adding that demand is growing in markets like Ahmedabad, Ludhiana, Chandigarh, Kolkata, Indore, Bhopal, Kochi, Vizag, Vijayawada, Mohali, Goa and Pune, among others.

With younger Indians happy to spend on luxury, the market can only keep growing. **BT**

@smitabw